

# ROAD TO RECOVERY

After a rocky start on the bourses, new-age tech stocks are recovering now. Their revival offers valuable lessons for those preparing to enter a vastly changed market

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**O**N NOVEMBER 7, 2023, Honasa Consumer, the parent of beauty and wellness brand Mamaearth, made its debut in the public market, exactly two years after beauty and personal care brand Nykaa's arrival. Despite the discordant notes in the market, Mamaearth's initial public offering (IPO) garnered a subscription rate of 7.61 times.

The start-up IPO market came to a near-standstill in 2022, with tech stocks globally experiencing a significant downturn and valuations facing a decline. This was exacerbated by historic lows in venture capital funding, following the frenzied activity of 2021, compelling companies to shift their focus from growth to profitability. With money getting pricier, more start-ups are eyeing the IPO path to gather funds. The strong investor demand for Mamaearth's IPO and the resurgence of pioneering stocks like Zomato and Paytm might just entice start-ups to speed up their journey to go public. "Indian start-ups have spent 2022 and 2023 [re-orienting] their playbooks as they adjust to a high-interest rate environment with more demanding investors. Business fundamentals are now at the forefront as start-ups turn lean, slash experiments and look at monetising their users more aggressively," says Siddharth Pai, Founding Partner of 3one4 Capital, and Co-Chair of the Regulatory Affairs Committee at industry body IVCA.

Zomato, the first Indian unicorn to go public (in July 2021), marked its second consecutive profitable quarter in September. Profits surged to ₹36 crore in Q2FY24 from ₹2 crore in Q1FY24, a significant turnaround from the ₹251-crore loss in Q2FY23. Its quick commerce arm Blinkit turned contribution positive for the first time in Q2, with an average order value of 2x of Zomato in certain cities. Zomato expects Blinkit to break even in Q1FY25. "At this pace, where Blinkit's gross order value (GOV) is growing at 80 per cent-plus YoY (year-on-year), we wouldn't be surprised if Blinkit's GOV becomes multiple times

